

A green-tinted photograph of a gym interior, featuring rows of dumbbells in the foreground and various exercise machines in the background.

G Y M CRUNCH FIT

DIGITAL RE-ENGAGEMENT STRATEGY

M509 DIGITAL MARKETING & ANALYTICS

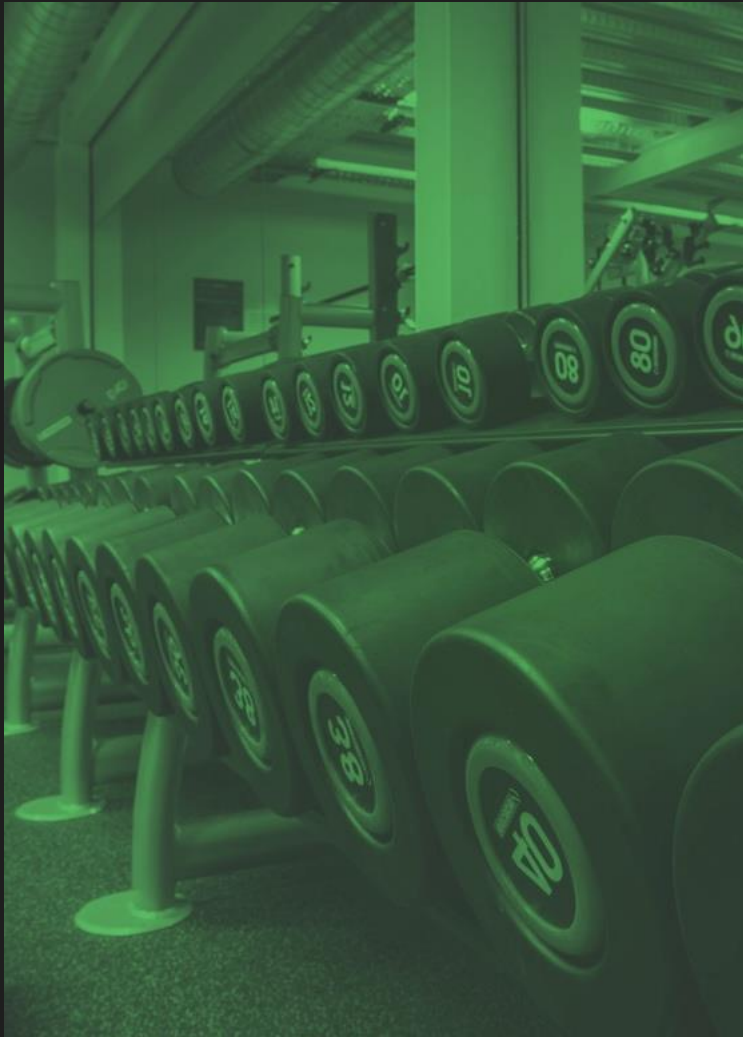
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AGENDA



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OBJECTIVES

PRIMARY OBJECTIVES

Reactivate inactive and dormant members in various segments, reduce churn risk, and stabilize recurring revenue using digital marketing and data-driven interventions.

SUB OBJECTIVES

- Reduce the share of inactive high-value members and bring them back into regular training.
- Increase visit frequency of previously dormant members to at least 2 visits per week within 3 months after reactivation.
- Protect at least €100,000+ in annual membership revenue that is currently at risk due to inactivity and early cancellations.
- Build a repeatable digital playbook that can later be applied in other Crunch-Fit locations across Europe.
- The strategy is intentionally focused: growth and expansion are important, but the primary goal is to win back and retain existing members whose latent value is already proven.





INTRODUCTION

Crunch-Fit Gym Lichtenberg is a Premium fitness franchise operating in Lichtenberg, Berlin with a member database of 1,000+ active members with detailed behavioural data. They follow the Membership-based with flexible tiers Model. The service's offered are 24/7 gym access, group fitness classes, personal training, drinks, bar and Sauna.

PROBLEM DESCRIPTION & SCOPE

1. The Problem & Financial Risk

Crunch-Fit Gym Lichtenberg is facing a severe member retention issue that puts over €180,000 in annual recurring revenue at risk. This is driven by 35% of premium members being dormant and 30% of the total base having critically low attendance signalling high churn risk.

2. The Root Cause

The high risk is attributed to lacking a proper digital engagement strategy. The gym fails to deliver personalized reminders, tailored incentives, or an integrated digital journey (app + email + on-site) to help at-risk members rebuild their workout habits.

3. Scope of Solution

The plan is a targeted project focused only on reactivating existing, at-risk members. While it uses available club data and is designed for one location, the goal is to create a scalable framework for the entire organization.

THEORETICAL BACKGROUND

MODELS

STP Model: The STP model structures marketing decisions around three core steps:

Segmentation:

The entire market is divided into smaller, homogeneous groups based on factors like demographics, behavior, and value. For Crunch-Fit, this means acknowledging that not all inactive members are the same a high value senior has different needs than a young adult.

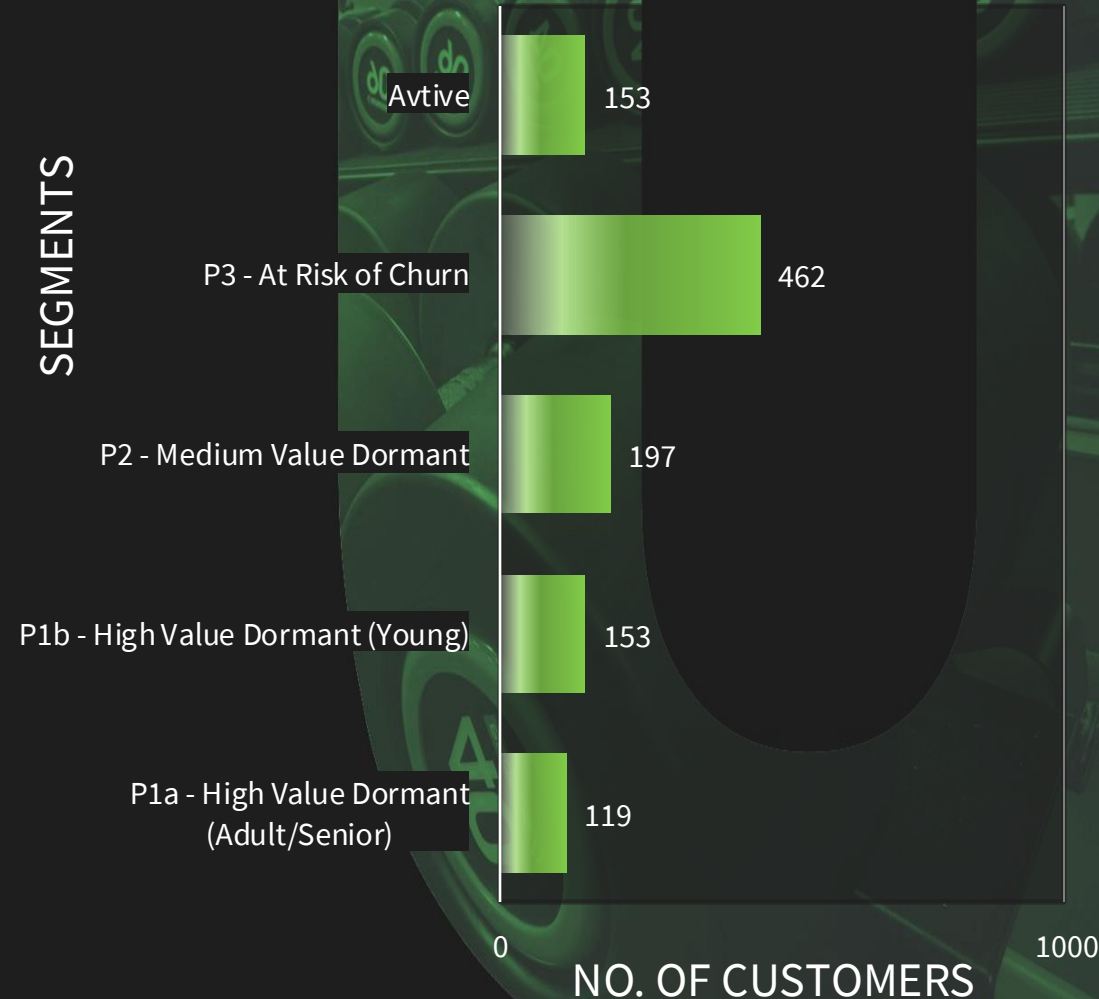
Targeting:

This involves selecting the most attractive and manageable segments to focus resources on. In this specific case, Crunch-Fit has chosen to concentrate on segments P1a, P1b, and P2, as they present the highest potential for reactivation and the most positive business case.

Positioning:

This defines the brand's value proposition and how it is perceived in the target audience's mind. Crunch-Fit aims to be a personal, data-driven, supportive partner in fitness, moving beyond the simple image of a gym with equipment.

DISTRIBUTION OF CUSTOMER REVIVAL SEGMENTS BY PRIORITY (REFINED BY AGE)





LEGAL FRAMEWORK – GDPR COMPLIANCE

Because the strategy relies heavily on member data and digital communication, it must respect the General Data Protection Regulation (GDPR):

Lawful basis:

- Contract as a legal ground for necessary processing: membership management, access control.
- Consent to receive marketing emails, SMS, and app notifications beyond basic service information.
- Legitimate interest for low-risk analytics and satisfaction surveys combined with the clear possibility of opting out.

Member rights:

- Right to access - overview of stored personal data.
- Right to erasure, subject to legal retention rules.
- Right to data portability.
- Right to object to direct marketing and certain profiling.

Security requirements:

- Encryption of sensitive data in transit and at rest.
- Roles based access control to handle the member's details by the authorized staff.
- Data Processing Agreements with all third-party vendors.
- Incident response plan in clear words, if applicable, together with 72-hour breach notifications.

GDPR is not just a constraint, but trust built when implemented effectively under the GDPR, which is essentially needed for any use of behavioral data in predicting churn and reactivation campaigns.

RISK ASSESSMENT & MITIGATION

Data breach and privacy risks

- Risk of unauthorized access to member data or misuse of profiles.
- Mitigation: technical security, minimal data access, audits, DPO.

Compliance risk (GDPR)

- Risk of insufficient consent records or slow responses to data requests.
- Mitigation: consent management system, standardized processes, staff training.

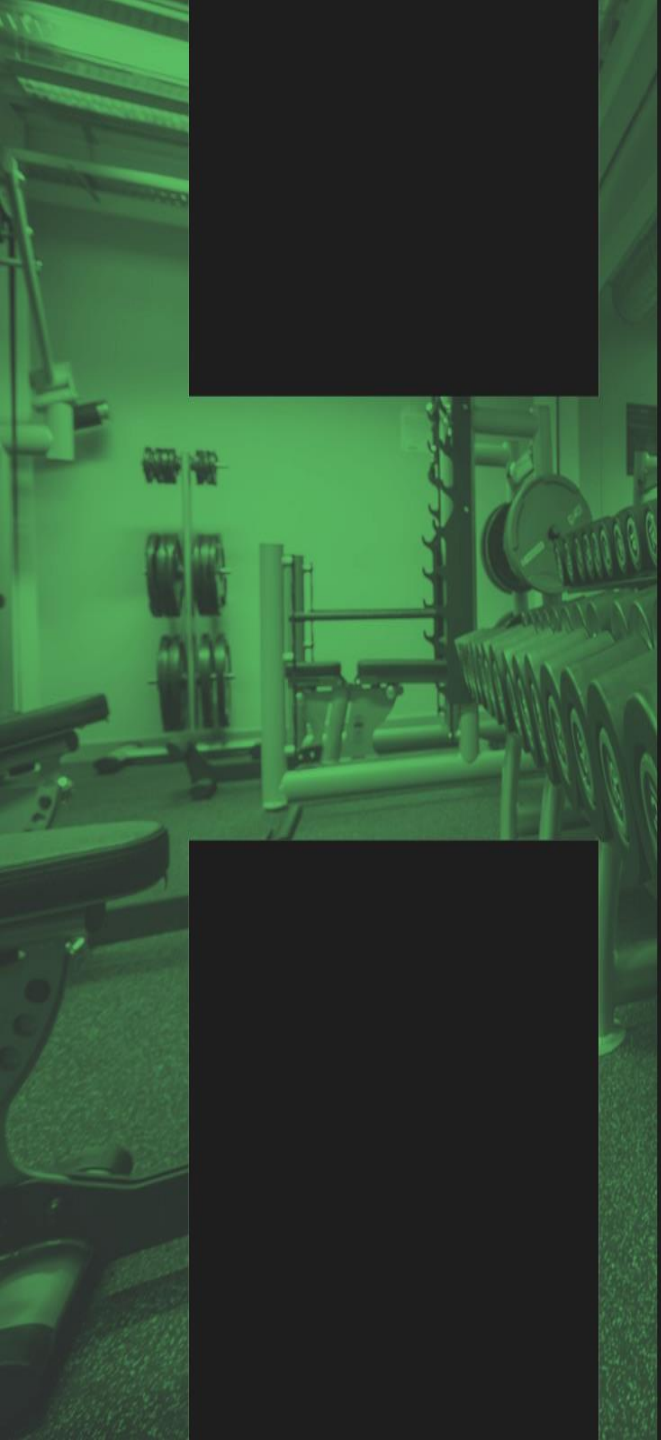
Customer trust risk

- Risk that members feel “over-tracked” or “spammed”.
- Mitigation: clear communication, visible benefits of data usage, respectful messaging frequency, easy opt-out.

Operational risk

- Risk that new digital tools are not adopted by staff or are too complex.
- Mitigation: training sessions, simple dashboards, clear responsibilities.





COMPREHENSIVE MARKET RESEARCH

The European fitness industry represents a favorable environment for an online reaction strategy:

- The amount involved in the fitness industry in Europe represents a volume exceeding 35 billion euros and will be growing at an average rate of 6 percent per annum.
- The digital fitness sector (apps, hybrids, wearables) expands even more, with a forecast rate of double-digit growth per year and driven by pandemic shifts and remote working.

For Germany specifically:

- Market volume of about €4.2 billion with more than 8,700 gyms and over 12 million members.
- Strong competition, but with a high rate of acceptance regarding digital solutions and data-driven services.

For Berlin:

- Over 450,000 active gym-goers, around 280 fitness facilities and a penetration rate of about 28% of the population.
- Urban population with above-average openness to apps, wearables and online booking.
- Many residents in Lichtenberg and surrounding regions make use of gym visits and flexible working methods.

This market context confirms that a digital and data-driven strategy on re-activation meets a need and is consistent with member expectations.

COMPETITIVE ANALYSIS

Crunch-Fit competes with:

- Low-cost chains: Prioritize price, have a big network, but sometimes offer very limited personalization and no community.
- Premium chains and boutique studios: These offer excellent equipment or unique concepts like yoga, CrossFit, and cycling, among others, but might not have an integrated online journey.
- Pure digital providers: Fitness and online classes with very flexible access but no physical presence and no coaching.

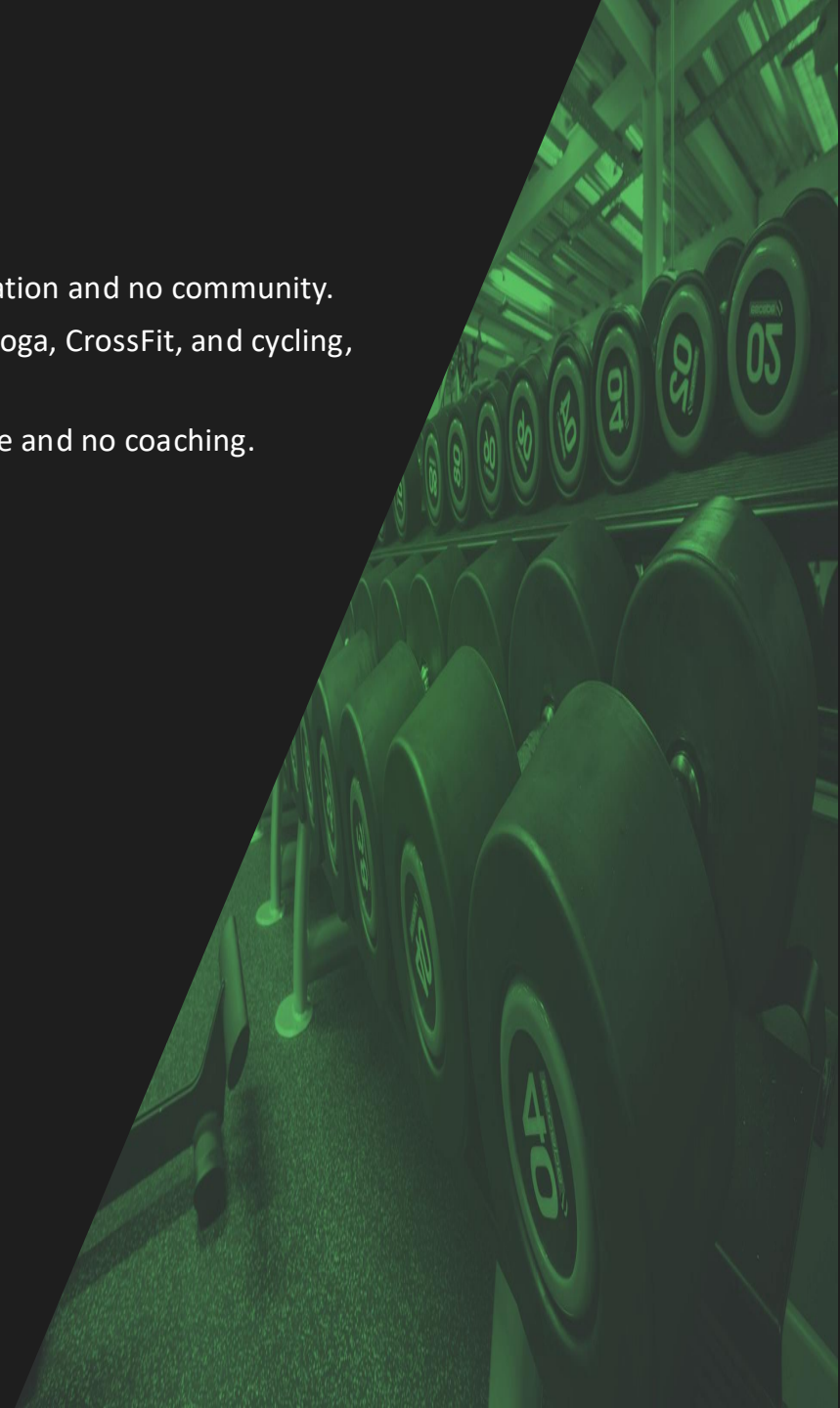
Crunch-Fit's key strengths:

- Well-equipped physical facilities with a comprehensive class offering.
- Existing member base with detailed behavior and transaction activity.
- Local community identity in Lichtenberg.

Current weaknesses:

- Handling limited usage of data for early churn prediction and personalized activation.
- Lack of fully integrated journey across email, app, and on-site interactions.
- Dormant members frequently leave without an organized strategy for targeted outreach.

This shows a clear opportunity available for Crunch-Fit to differentiate itself as a data-driven and member-centric gym that actively takes care of inactive and dormant members, and not just focusing on new sign-ups.



A vertical strip on the left side of the slide shows a blurred image of a gym interior with exercise equipment like treadmills and weight racks.

CUSTOMER SEGMENTATION & TARGETING

The problem with the current approach is the absence of an integrated and personalized online experience. Accordingly, our entire strategy rests on correcting this with a more targeted and integrated digital playbook that identifies and responds explicitly to the needs of at-risk members. Based on contractual, age, and activity data, three segments are identified within members as priorities for the strategy:

8.1 P1a – High-Value Dormant Adult / Senior

- Age 26+, with Premium / Annual / Gold subscriptions.
- Historically active and engaged but have been inactive for a few weeks or visiting very rarely.
- Regularly used add-ons such as sauna or the premium drinks packages in the past.

8.2 P1b – High-Value Dormant Young

- Age under 26, also with premium subscriptions.
- Completely inactive for the past weeks, while previously being a regular gym user.
- Typically, shorter sessions and more focus in trendy classes and social experiences.

8.3 P2 – Medium-Value Dormant

- Members with Standard / Monthly contracts, fully inactive for a longer period.
- Historically 1–3 visits per week and moderate contract value.
- Less sensitivity to premium price, but still a good contribution to subscription revenue.

The strategy focuses on P1a, P1b and P2 because these groups:

- Have clear data signals in the existing dataset (visit frequency, contract type, typical training times).
- Create a strong business case: reactivating them is cheaper than acquiring entirely new members.
- Are large enough to deliver a visible impact on revenue and utilization.

DIGITAL MARKETING STRATEGY

The essence of this strategy consists of a playbook on reactivating P1a, P1b, and P2 members. The secondary strategy would be based on expanding and cross-selling, with the intention of re-engaging inactive members for regular trainings.

Strategy for P1a – High-Value Dormant Adult / Senior

Profile: High-value adult/senior members (26+) with Premium/Annual/Gold subscription who have not been active recently.

Key idea: Combine personal appreciation with tangible benefits that reflect their previous usage patterns.

1. Personalized re-engagement campaigns
 - Sends triggered emails and text messages with 'We Miss You' communications.
 - References to their previous Favorite classes and preferred trainer .
 - Clear call-to-action to book a class or PT session via app or reception.
2. VIP incentives for returning
 - Offer two free PT sessions or 50% discount on the next month, exclusive for P1a members who return.
 - Include free sauna access or premium drink packages, as many P1a members are been known to use such add-ons.
3. Urgency-based offers
 - Limited-time promotions such as "Reactivate now and save 30% on your next annual renewal".
 - To remind them that they were able to fit the training into their regular schedule before, note the average session length for each member.

PROBLEM/ WEAKNESS	DIGITAL SOLUTION
High Churn Risk / Inactive after historical loyalty	Personalized CRM Trigger
Lacks Personalized Digital Reminder	Reference Favorite Classes / Trainer
High value; needs tangible appreciation	VIP Incentives: Free PT Sessions or Add-on Bundles
Need urgency to return	Urgency Offers (Next Annual Renewal Discount)

Strategy for P1b – High-Value Dormant Young

Profile: High-value members under 26 with premium contracts who are fully inactive

Key idea: Use youth-relevant incentives, social elements and gamified digital experiences.

1. Youth targeted promotions and interactions

- Free passes for some popular group classes like Zumba, Running and Yoga, which members of P1b have often previously enjoyed.
- “Bring a friend” options and referrals systems that allow you to bring a buddy with you on return.

2. Quick-win reactivation packages

- Attractive trials, for instance: ‘1-month free reactivation’ once they return for training.
- Additional perks: discounted drinks, early check-in benefits or priority booking for highly sought-after classes.

3. Digital push and gamification

- Notifications from mobile app with fun words based on historical data.
- Short challenges relating to app tracking and digital badges.



**PROBLEM/
WEAKNESS**

**DIGITAL
SOLUTION**



Needs social /
community push

"Bring a Friend"
Options / Buddy
Referrals

Inactive, needs to
rebuild habit via
fun / trend

Free Passes for
Trendy Group
Classes

React well to
digital /
gamification

Mobile App
Gamification: Badges,
Streaks, Challenges

High-value but
fully inactive

Quick-Win Reactivation
1-Month Free +
Mobile-First Perks

The communication style for P1b is visibly active and mobile first, with no focus on detailed information but on fun, community, and rapid gain.

Strategy for P2– Medium-Value Dormant

Profile: Standard/Monthly subscription holders, completely inactive, with previous usage rate 1–3 visits per week.

Key idea: Minimize risk and cost barriers and refocus on habit.

1. Value recovery offers

- Bundled offerings like “2-for-1 Standard renewal” and “free group lesson trials” help build back up the learning habit around familiar rituals.

2. Low-barrier re-entry

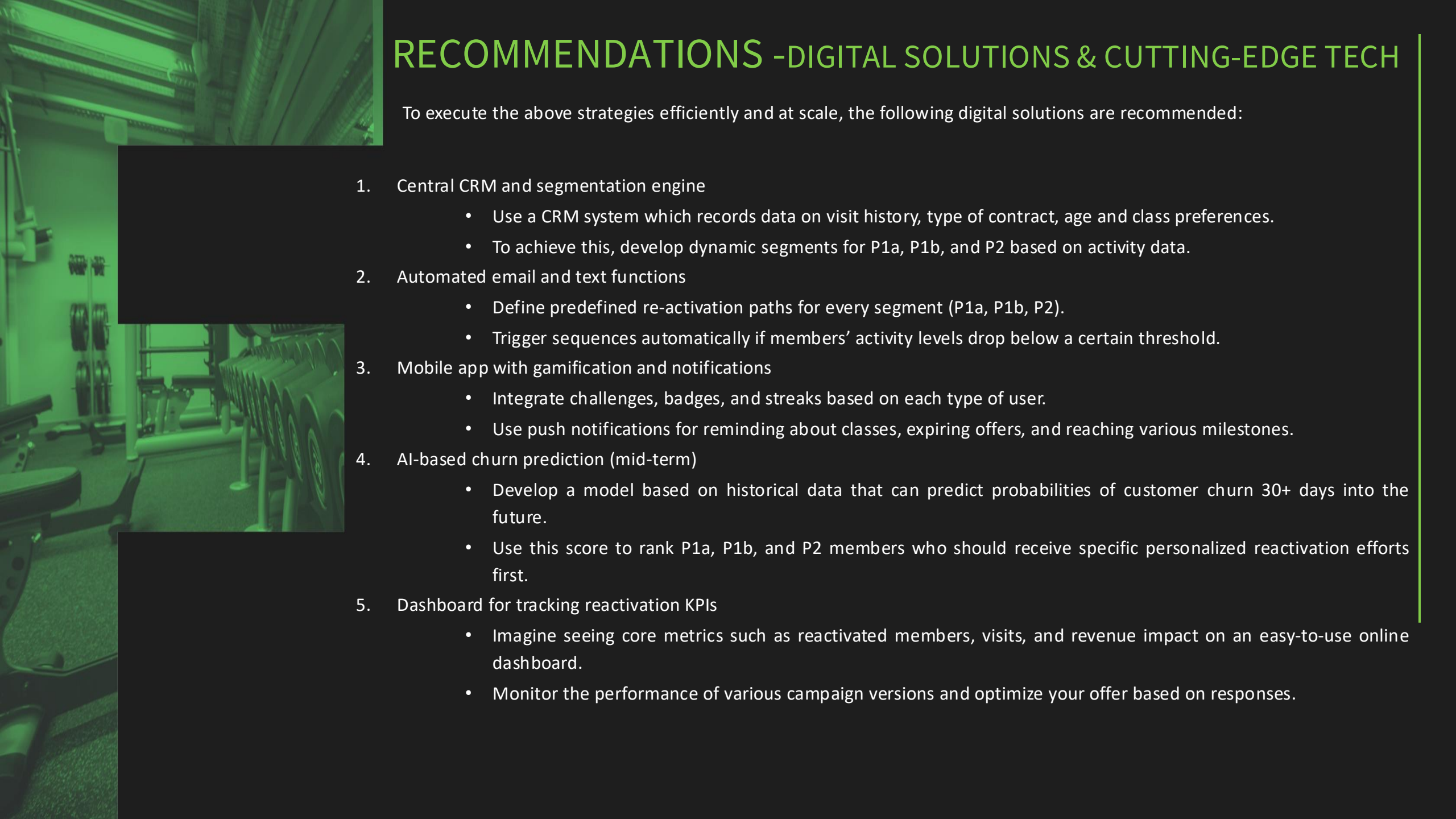
- Simple SMS such as “1 week free – no strings” with clear explanation that there is no long-term commitment required.
- Flexibility regarding scheduling times that correspond with regular patterns

3. Tiered reactivation and upgrade path

- After they have returned and made their first new visit, offer an upgrade to Premium with 20% discount as a reward.
- Communicate the added value clearly: more classes, better access, extra services – but only after the initial barrier is overcome.

PROBLEM/ WEAKNESS	DIGITAL SOLUTION
Fully inactive for long period (Habit broken)	Low-Barrier Re-entry: Simple SMS Offer
Price/Value sensitive (Standard Contract)	Value Recovery Offers: 2-for-1 Renewal / Free Group Trials
Needs convenience / fitting into routine	Scheduling Flexibility
Need a clear path to higher value	Tiered Upgrade Path: Offer 20% Premium Discount

All P2 communications are easy and convenient, with a focus less on “VIP” status and more on convenience, fair value and adaptability.



RECOMMENDATIONS -DIGITAL SOLUTIONS & CUTTING-EDGE TECH

To execute the above strategies efficiently and at scale, the following digital solutions are recommended:

1. Central CRM and segmentation engine
 - Use a CRM system which records data on visit history, type of contract, age and class preferences.
 - To achieve this, develop dynamic segments for P1a, P1b, and P2 based on activity data.
2. Automated email and text functions
 - Define predefined re-activation paths for every segment (P1a, P1b, P2).
 - Trigger sequences automatically if members' activity levels drop below a certain threshold.
3. Mobile app with gamification and notifications
 - Integrate challenges, badges, and streaks based on each type of user.
 - Use push notifications for reminding about classes, expiring offers, and reaching various milestones.
4. AI-based churn prediction (mid-term)
 - Develop a model based on historical data that can predict probabilities of customer churn 30+ days into the future.
 - Use this score to rank P1a, P1b, and P2 members who should receive specific personalized reactivation efforts first.
5. Dashboard for tracking reactivation KPIs
 - Imagine seeing core metrics such as reactivated members, visits, and revenue impact on an easy-to-use online dashboard.
 - Monitor the performance of various campaign versions and optimize your offer based on responses.

CONCLUSIONS

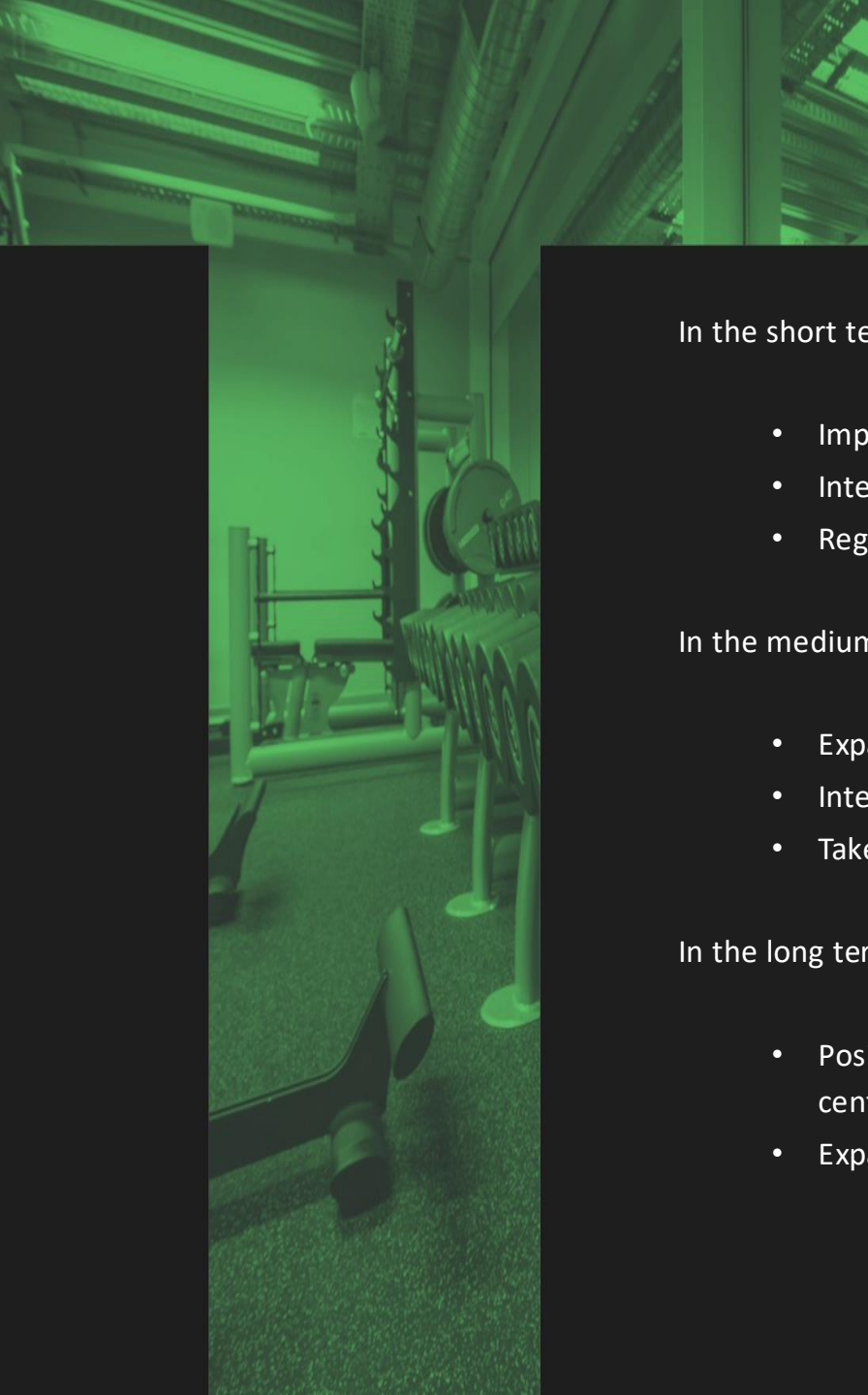
According to the analysis, Crunch-Fit Gym Lichtenberg has a sizable pool of inactive members with significant earning potential. These members are highly vulnerable to churn and contract cancellation in the absence of focused action, which would seriously impair the company.

Three priority segments—P1a, P1b, and P2—were determined to be the most promising targets for a reactivation strategy by utilizing marketing theory (STP, lifecycle), adhering to GDPR and risk management, and utilizing practical market insights.

The proposed digital marketing strategy:

- Provides specific, segment-based campaigns for P1a, P1b and P2.
- Replaces generic discounting with digital tools, incentives, and personalization.
- Focuses clearly on reactivating inactive members, not just on acquiring new ones.

This strategy can boost utilization, safeguard six-figure yearly revenue, and create a scalable digital playbook for upcoming Crunch-Fit locations if it is applied consistently.



OUTLOOK

In the short term (0–12 months), the priority is to:

- Implement the re-activation workflows for P1a, P1b and P2.
- Integrate CRM, app and communication channels.
- Regularly institutionalize reviews of KPIs for reactivations.

In the medium term (12–24 months), Crunch-Fit will be able to:

- Expand the playbook into more segments such as newly joined members and high ancillary users.
- Integrate wearables and other data sources to further enhance the model of churn.
- Take the best practices from Lichtenberg as a model for the other locations.

In the long term (24+ months), the gym will be able to:

- Position itself as a European benchmark for data-driven fitness, using its reactivation success as a central reference story.
- Expand this model to other cities, but retain a local community feel at each site.

SOURCES

Data Source: CRM Gym Member Data (1,000 records).

[1] Internal Crunch-Fit data (GYM-1.html): Contract categories, visit frequency, favorite classes, training times and add-on usage, used for defining P1a, P1b and P2 and their reactivation potential.

[2] Secondary market reports on the European and German fitness market: market size, growth rates and digitalization trends.

[3] GDPR (General Data Protection Regulation) – official EU legal text and guidance on lawful basis, member rights and security requirements.

[4] Standard marketing literature on STP and Product Lifecycle concepts used to structure segmentation, targeting, positioning and lifecycle-oriented interventions.

The background image is a photograph of a gym, split diagonally from the bottom-left to the top-right. The left side shows a rowing machine and other gym equipment. The right side shows a rack of dumbbells with weights ranging from 5 to 50 pounds. The entire image has a green color overlay.

THANK YOU